Investment Research Evolution

Williams-Sonoma, Inc. (NYSE: WSM) | Valuation date: August 31, 2026

Initial Research Overview (Editorial Summary)

Initial Investment Assessment

I chose Williams-Sonoma because I was familiar with some of its brands but had limited knowledge of the company as an investment. The research began with a straightforward question: how do its brands fit together, and what supports its competitive position in the home-furnishings industry?

The broader consumer sector was also relevant because spending on home furnishings can be delayed when households become concerned about the economy or their finances. This made sales resilience and margin durability central questions from the start, rather than assumptions to be made from a single quarter.

The initial results contained encouraging evidence. The company reported 6.2% comparable-brand revenue growth in the second quarter, held a strong cash position, and reported no financial debt. However, earnings also included an unusual tariff-refund benefit. The central issue was how much of the recent performance reflected normal operations rather than a nonrecurring item.

At this stage, the evidence did not support a purchase recommendation. My initial judgment was Watch/Defer while I developed a clearer view of normalized earnings, cash treatment, and valuation.

Financial Evidence and Sources

The main source was Williams-Sonoma, Inc.'s Q2 FY2026 Form 10-Q, accession 0000719955-26-000208, filed August 28, 2026, for the quarter ended August 2, 2026. The registrant is Williams-Sonoma, Inc. (Delaware; CIK 0000719955). Unless noted otherwise, amounts are U.S. dollars in thousands; per-share data follow the condensed consolidated financial statements.

At August 2, 2026, cash and cash equivalents were $1,028,936 ($1.029 billion). For the bridge, the company reported $0 in borrowings: it had no revolving-credit borrowings and no amounts outstanding under its letter-of-credit facilities. This mattered because cash and financial debt affect the move from enterprise value to equity value. Operating-lease liabilities were disclosed separately and were not treated as financial debt unless the course convention required otherwise. See the balance sheet and borrowing arrangements.

Q2 FY2026 diluted weighted-average shares were 118,892 (118.892 million), including 1,127 thousand dilutive stock-award shares, and diluted EPS was $2.84. Q2 company comparable-brand revenue grew 6.2%, compared with 3.7% in the prior-year quarter, driven by 6.5% e-commerce and 5.5% retail comparable growth. Net revenue was $1,959,757 ($1.960 billion), up 6.7%. The growth data suggested that demand was improving, but one quarter was not enough to establish a longer-term trend. The EPS note and MD&A provide the underlying disclosures.

The tariff refund was the main reason to be cautious about reported earnings. Q2 diluted EPS of $2.84 included $1.06 of tariff-refund income and $0.04 of related interest income, partly offset by $0.30 of vendor reimbursements and $0.06 of tariff-related employee-recognition cost. The net effect was a $0.74 per-share benefit. That benefit could make Q2 EPS look stronger than ongoing earnings, so the tariff-refund discussion needed to be incorporated into later valuation work.

Enterprise-to-Equity Calculation Check

Source: SYNTHETIC TEACHING CASE — the Week 2 fallback. This is a mechanics check only and is not combined with WSM filing figures.

Bridge item	Amount	Treatment
Enterprise value	$1,000 million	Starting point
Add: non-operating cash	$100 million	Non-operating asset
Less: debt	($250 million)	Debt claim
Less: noncontrolling interest	($20 million)	Non-common claim
Less: unfunded pension	($10 million)	Debt-like claim
= Common equity value	$820 million	$1,000 + $100 – $250 – $20 – $10
÷ diluted shares	100 million	Share basis
= Value per diluted share	$8.20 per share	$820 million ÷ 100 million shares

The reconciliation anchors were NOPAT of $112.5 million and FCFF of $77.5 million. This calculation check reinforced a basic valuation point: debt and other non-common claims reduce the value available to common shareholders, while non-operating cash increases it. A sign error that added debt instead of subtracting it would reverse the result.

Initial Assumptions and Limitations

The first question was whether recent sales growth was sustainable. Because home-furnishings purchases depend partly on consumer confidence and household spending, one strong quarter was not sufficient evidence of a durable trend. I also needed to determine whether the company's different brands could offset weakness elsewhere in the business.

The valuation work also remained incomplete. Williams-Sonoma reported approximately $1.03 billion in cash, but I could not assume that all of it was excess cash available to shareholders. I also needed to establish the treatment of leases and the appropriate share count for per-share value.

Questions for Further Research

The following questions guided the next stage of research:

1. Determine the market price and market capitalization on the selected valuation date, then calculate trading multiples and implied equity value.
2. Analyze the durability of comparable growth by brand, channel, and category, with particular attention to Pottery Barn, the largest brand.
3. Remove the net $0.74 Q2 tariff-refund-related EPS benefit and model continuing gross-margin exposure to tariffs, merchandise costs, shipping, and occupancy.
4. Assess whether the August 2 cash balance is excess after seasonal inventory, capital expenditure, repurchases, dividends, and working-capital needs.
5. Establish the appropriate treatment of operating leases and stock-based dilution under the course valuation convention.
6. Compare WSM's margins, growth, capital returns, and valuation to relevant specialty-home and discretionary-retail peers.

Challenge to the Initial Thesis

The key challenge to the initial research was whether Williams-Sonoma's recent results were as strong as they first appeared. The partner-generated challenge asked how profitability would look without the tariff-refund benefit.

Well-known brands and a strong financial position do not necessarily make a stock attractively priced. If consumers became more cautious about discretionary purchases, sales growth and profit margins could come under pressure.

These questions made it necessary to look beyond recent results and evaluate longer-term financial performance before reaching a final investment decision.

Edition B — Final Investment View

Recommendation and Valuation Date

Based on my valuation analysis, I recommend keeping Williams-Sonoma on the watchlist rather than initiating a position at its August 31, 2026 closing price of $228.25. The integrated FCFF DCF range is $123.00-$156.69 per share. The qualified peer EV/EBIT range is $140.65-$169.66 per share, and the qualified peer P/E range is $160.41-$208.95 per share. Each approach remains below the market price. I consider the methods separately because each answers a different valuation question; mechanically averaging them would create false precision.

How the Research Evolved

Edition A was an initial screening judgment, not a valuation conclusion. It identified the tariff-refund benefit, cash classification, dilution, and the durability of comparable growth as open questions. Edition B addressed those questions with FY2023-FY2025 filing history, the Q2 FY2026 filing, a five-year linked pro forma, an FCFF DCF, qualified peer references, and sensitivity testing. The additional work narrowed the decision but did not remove the uncertainties that support Watch/Defer.

Research dimension	Edition A	Edition B	Primary driver of change	Supporting evidence or validation
Recommendation	Watch/Defer pending normalized earnings and valuation.	Watch/Defer; do not initiate at the dated price.	Course-required valuation work and student judgment.	The full FCFF range, including the high case, and both peer ranges remain below $228.25.
Evidence Base	The Q2 FY2026 Form 10-Q identified demand, cash, debt, and tariff-refund questions.	FY2023-FY2025 filing history, the Q2 FY2026 filing, dated peer prices, and peer filings support the final analysis.	Filing research and source verification.	Filing locators and the final data ledger used in Labs 06, 08, and 10.
Operating Forecast	A synthetic bridge and research plan; no completed valuation.	A five-year linked pro forma carries operating assumptions through FCFF.	Course requirements and student judgment.	Annual statements articulate; validation tests confirm forecast links and DCF directionality.
Valuation Framework	Cash classification, dilution treatment, and valuation remained open questions.	FCFF DCF is the primary valuation; FCFE is a reconciliation check; P/E and EV/EBIT are peer references.	Course requirements, filing research, and student judgment.	validate_wsm_model.py passes bridge and FCFF/FCFE reconciliation checks.
Risk and Uncertainty	The tariff-refund benefit might not recur; cash and dilution required review.	Tariff normalization, WACC, excess cash, terminal-value reliance, and two-peer dispersion limit conviction.	Sensitivity results and valuation judgment.	72.7% terminal-value share; 0%/50%/100% excess-cash sensitivity; peer-removal limitation.
AI Assistance	The available original working version records Codex use; the AI-use record governs disclosure.	Documented assistance supported drafting, code review, integration, validation support, and deck preparation.	Documented AI assistance; student judgment remained separate.	validation-and-ai-use.md identifies a qualified Codex output and preserves unresolved model/version and interaction-date verification.

Valuation Rationale

The five-year linked pro forma carries revenue, gross margin, operating costs, taxes, capital expenditures, working capital, and cash through the financial statements to FCFF. That process converts the initial directional assessment into an internally linked operating valuation. FCFE is a reconciliation check under the stated no-financial-debt convention, not a second independent valuation vote. The peer P/E and EV/EBIT analyses provide separate market-reference checks.

All three methods produce per-share values below the August 31, 2026 market price of $228.25: FCFF is $123.00-$156.69, EV/EBIT is $140.65-$169.66, and P/E is $160.41-$208.95. Their consistent direction supports not initiating a position. Recent demand and liquidity support continued monitoring, but they do not provide a sufficient valuation margin of safety.

Key Judgments and Limitations

The valuation does not treat the Q2 tariff-refund benefit as recurring operating performance. Its removal informs the gross-margin judgment carried through the forecast. The 10.0% WACC is a valuation judgment rather than an observed market fact, and the 9.0%-11.0% sensitivity shows how much that judgment affects value.

Cash treatment is also consequential. The enterprise-to-equity bridge presents 0%/50%/100% excess-cash treatments rather than assuming that the entire reported balance is distributable. Terminal value represents 72.7% of enterprise value, so long-run growth, margin durability, and the discount rate remain material sources of uncertainty. These limitations support Watch/Defer rather than false precision.

Reconsideration Triggers

The committee should reconsider initiation only if post-refund comparable-brand demand and normalized margins prove durable, tariff and sourcing costs become better understood, and cash conversion supports a defensible minimum-operating-cash treatment. A refreshed same-date valuation would also need to show a margin of safety under documented WACC and terminal-value assumptions.

Conversely, sustained tariff or sourcing pressure that weakens normalized margins would support moving from Watch/Defer to Do Not Initiate. This framework ties the recommendation to observable evidence rather than to a static price target.

Sources and Responsibility

Edition B's factual evidence comes from the cited WSM SEC filings and the peer and model records identified above. The linked model, valuation framework, and required comparison reflect course requirements. Source selection, normalization, WACC and cash-treatment judgments, and the investment conclusion reflect my research and judgment. Documented AI assistance is identified separately in the validation record and is not treated as independent source evidence.

What Changed From Edition A to Edition B, and Why?

The initial Watch/Defer judgment became a valuation-supported Watch/Defer recommendation. Filing research clarified the tariff-refund issue and historical operating context; course-required modeling linked the forecast to FCFF; and peer references and sensitivity tests tested the conclusion from different perspectives. The methods were not averaged because they answer different valuation questions. Their consistent result below the August 31, 2026 market price of $228.25 supports continued monitoring rather than initiation.

Appendix A — Original Edition A Submission

This appendix preserves the available Edition A working version without editorial changes as the baseline for comparison with Edition B. The repository does not contain a Brightspace receipt or checkpoint identifier, so this copy cannot be verified as the original Brightspace submission.

Project 1 — Edition A: Williams-Sonoma, Inc. (NYSE: WSM)

Decision, user, and valuation date

User: a prospective public-equity investor deciding whether to begin fundamental valuation work on WSM. Company: Williams-Sonoma, Inc. Valuation date: August 31, 2026. The most recent reported financial-position date available at that date is August 2, 2026. Initial thesis: Watch / defer. WSM produced 6.2% company comparable-brand revenue growth in Q2 FY2026 and retains a net-cash financial-debt position. However, Q2 diluted EPS included a net $0.74 per-share benefit from the unusual tariff refund and related items, so an investment conclusion should wait for normalized earnings and a valuation analysis.

Primary filing and known evidence

Primary source: Williams-Sonoma, Inc. Q2 FY2026 Form 10-Q, accession 0000719955-26-000208, filed August 28, 2026, for the quarter ended August 2, 2026. The registrant is Williams-Sonoma, Inc. (Delaware; CIK 0000719955).

All dollar values below are U.S. dollars in thousands, except per-share data, as stated in the condensed consolidated financial statements.

• Cash and cash equivalents at August 2, 2026: $1,028,936 ($1.029 billion). Balance sheet

• Financial debt used in the bridge: $0 reported borrowings. At quarter-end, the company had no revolving-credit borrowings and no amounts outstanding under its letter-of-credit facilities. Borrowing arrangements Operating-lease liabilities are disclosed separately and are not treated as financial debt here unless the class convention directs otherwise.

• Diluted-share evidence: Q2 FY2026 diluted weighted-average shares were 118,892 (118.892 million), including 1,127 thousand dilutive stock-award shares; diluted EPS was $2.84. EPS note

• Operating-value driver: Q2 FY2026 company comparable-brand revenue grew 6.2%, compared with 3.7% in the prior-year quarter; current-quarter growth was driven by 6.5% e-commerce and 5.5% retail comparable growth. Q2 net revenue was $1,959,757 ($1.960 billion), up 6.7%. MD&A

• Normalization evidence: Q2 diluted EPS of $2.84 included $1.06 of tariff-refund income and $0.04 of related interest income, partly offset by $0.30 of vendor reimbursements and $0.06 of tariff-related employee-recognition cost—a net $0.74 per-share benefit. Tariff refund discussion

Synthetic enterprise-to-equity bridge check

Source: SYNTHETIC TEACHING CASE — the Week 2 fallback. This is a mechanics check only and is not combined with WSM filing figures.

Bridge item	Amount	Treatment
Enterprise value	$1,000 million	Starting point
Add: non-operating cash	$100 million	Non-operating asset
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= Common equity value	$820 million	$1,000 + $100 – $250 – $20 – $10
÷ diluted shares	100 million	Share basis
= Value per diluted share	$8.20 per share	$820 million ÷ 100 million shares

Reconciliation anchors: NOPAT = $112.5 million and FCFF = $77.5 million. A unit/sign failure that would reverse the interpretation is adding debt instead of subtracting it when converting enterprise value to common equity value.

Consequential assumptions

• The synthetic bridge is a separate mechanics check; it does not use WSM cash, debt, or diluted shares.

• For later WSM valuation work, the August 2 cash balance and the reported absence of revolving-credit and letter-of-credit borrowings must be assessed under the course's debt and excess-cash convention. Lease liabilities are excluded unless that convention capitalizes them.

• Q2 company comparable-brand revenue growth is informative for current demand, but it is not a full-year result.

• Diluted weighted-average shares are an acceptable initial denominator; a later valuation should reconcile them to current basic shares and incremental dilution at the valuation-date share price.

Unknowns and research plan

1. Determine the market price and market capitalization on the selected valuation date, then calculate trading multiples and implied equity value.
2. Analyze the durability of comparable growth by brand, channel, and category, with particular attention to Pottery Barn, the largest brand.
3. Remove the net $0.74 Q2 tariff-refund-related EPS benefit and model continuing gross-margin exposure to tariffs, merchandise costs, shipping, and occupancy.
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Partner-generated falsification question

How much of WSM's recent operating performance remains after removing the unusual tariff-refund benefit, and would the normalized results still support your thesis?